The University of Zambia

in association with

ZCAS University

BFS322 TREASURY MANAGEMENT

11th JUNE 2019

16:00 – 19:00 HOURS

TIME ALLOWED: THREE HOURS (plus 5 minutes to read through the paper)

INSTRUCTIONS:

1. Section A: this question is **compulsory** and must be attempted.
2. Sections B: Answer Three (3) questions from this section.
3. This examination paper carries a total of **100 marks**.
4. Candidates must **not turn this page** until the invigilator tells them to do so.

SECTION A: Question 1 is compulsory and must be attempted

Question 1

Treasury department is the financial center of an organization. The key role is the safeguarding and stewardship of organization's financial assets and management of liabilities. You have been appointed as a treasurer in a major corporation in Zambia. Discuss the functions that you will be required to undertake in your new role. **(40 marks)**

SECTION B: **Attempt any THREE questions in this section**

Question 2

Nkongole Enterprises Limited is a manufacturer of exotic furniture. You have been recently appointed as the company Treasurer. The company has been facing some working capital challenges recently, which has led it to rely on its overdraft facility with the bank on which it pays 20% p.a. in interest.

One of your first tasks as a Treasurer is to examine the company's accounts and you have been provided the following information:

	2018	**2017**	**2016**
Cash	K0	K500	K5,000
Debtor days	90	60	30
Creditor days	120	100	45
Inventory turnover	2	2.5	4

(i) Explain why it is important for a firm to manage its working capital. **(2 marks)**

(ii) Based on the above figures alone, advise management on the causes of the working capital problems that the company is facing. **(4 marks)**

(iii) One of the methods of managing inventory is to institute a Just in Time (JIT) system. Explain how JIT works and highlight the benefits of using this system. **(4 marks)**

(iv) Suggest the sources of information from which the company can assess its customers credit standing before it decides to grant credit to them. **(10 marks)**

Question 3

You are the Treasury Assistant for a company. In your analysis of the company's bank accounts, you notice that the company maintains substantial credit balances in its current account. Upon enquiry, you are informed that it is the company's policy to maintain huge balances on the current account in order to reduce the risk of running out of cash.

(i) Explain to management why in your view the policy of maintaining high balances on the current account is not beneficial from a treasury point of view. **(2 marks)**

(ii) In order to manage its cash resources more prudently you have advised management to maintain a minimum balance of K1,000 on the current account. The bank pays an interest rate of 10% p.a. on deposits and charges K20 per transaction to transfer to or from the current account. From your experience the standard deviation of cash flows is K500 per day. Calculate the maximum balance that should be maintained on the current account and the return point at which transfers would be made into or out of the current account. **(8 marks)**

(iii) Suggest to management any five (5) investment products that surplus funds on the current account above the maximum level can be invested into to earn a return. **(10 marks)**

Question 4

Average Exchange rates: 20-05-2019		
Currency	**Buying**	**Selling**
USD	13.9359	13.9859
GBP	17.7320	17.8026
EUR	15.5538	15.6138
ZAR	0.9990	1.0062

The Zambian Kwacha has in the recent days experienced a sharp depreciation against the major currencies, especially the United States dollar. The depreciation of the currency poses a number of risks to business firms. As a treasurer in a major organisation, you have been tasked with coming up some strategies to mitigate against this foreign exchange risk.

(i) Suggest five (5) business practice strategies that you can recommend to the organisation that can be used to mitigate the foreign exchange risk and highlight any challenges in implementing these strategies. **(10 marks)**

(ii) Discuss any two (2) financial derivative instruments that the organisation can use to manage the foreign exchange risk and show how these instruments operate. **(10 marks)**

Question 5

Government Bonds		
Date: 26-04-2019 Tender No: 02/2019/BA		
Period	Yield	Coupon
2 Years (ZM1000004045)	29.5000	9.0000
3 Years (ZM1000003815)	29.7500	10.0000
5 Years (ZM1000003823)	30.5000	11.0000
7 Years (ZM1000004052)	25.5780	12.0000
10 Years (ZM1000003997)	27.0000	13.0000
15 Year (ZM1000004060)	19.0000	14.0000

(i) The term structure of interest rates is the spread of interest rates that are paid on the same type of financial assets with different terms to maturity. The term structure of interest rates is often plotted on a yield curve. Draw three types of yield curve and for each type provide a reason on why it is shaped the way it is. **(6 marks)**

(ii) The overall risks associated with lending increases over time. Outline three reasons why. **(6 marks)**

(iii) Interest rates in Zambia have seen an increase recently. As a treasurer in an organisation suggest any two (2) financial derivative instruments that can be used to mitigate this risk and explain how each one operates. **(8 marks)**

END OF EXAMINATION